

**BEFORE THE ARBITRAL TRIBUNAL COMPRISING OF
SOLE ARBITRATOR SR. ADV. NITIN N. N. P. SARDESSAI
AT PANAJI – GOA**

IN THE MATTER OF :-

MR. VIKARM SHAH

...Claimant

Versus

MR. RIVA TRINDADE & ORS.

...Respondents

**REPLY TO APPLICATION UNDER
SECTION 16 OF THE ARBITRATION AND
CONCILIATION ACT, 1996 FILED AT THE
INSTANCE OF THE RESPONDENT NO. 2**

MAY IT PLEASE THIS HON'BLE TRIBUNAL

The Claimant most humbly begs to state and submit and under.

1. At the outset, it is submitted that the present Application filed by the Respondent No. 2, purportedly under Section 16 of the Arbitration and Conciliation Act, 1996 is wholly misconceived, untenable both in law and on facts, and is liable to be dismissed in limine.
 2. It is submitted that the Application in question is nothing short of a figment of belated afterthought, and has been filed with the sole intent of derailing and delaying the present arbitral proceedings.
 3. It is a matter of record that the Respondents Nos. 1, 2 and 3 had filed their Statement of Defence on 07.03.2025 without raising any objection as to the jurisdiction of this Hon'ble Tribunal on the
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grounds now sought to be urged in terms of the present Application. The present plea is raised for the first time at this belated stage and is clearly barred under Section 16(2) of the Act, which mandates that a plea that the Arbitral Tribunal lacks jurisdiction ought to be raised not later than the submission of the Statement of Defence.

4. The law on this issue is no longer res integra. The Hon'ble Supreme Court in *M/s. Vidhyawati Construction Company v. Union of India* reported (2025) 5 SCC 347 has categorically held that a jurisdictional objection not raised at the stage of filing of the Statement of Defence is deemed to have been waived and cannot be permitted to be raised at a belated stage.
5. It is submitted that conduct of Respondent No. 2 squarely attracts the doctrine of waiver and acquiescence. It is submitted that the Respondent No. 2, having participated in the present arbitral

proceedings and having filed a detailed Statement of Defence on merits, cannot now be permitted to approbate and reprobate by raising a jurisdictional challenge at a belated stage. In fact, such conduct is impermissible in law and contrary to the Principles contained in Section 4 of the Arbitration and Conciliation Act, 1996 relating to waiver of right to object.

6. In any event of the matter, and without prejudice to the above, even on merits, the contention of Respondent No. 2 that this Hon'ble Tribunal lacks jurisdiction is wholly unsustainable.
7. It is submitted that the plea of the Respondent No. 2 is premised on the assertion that Respondent No. 2 is not a signatory to the Agreement constituting the Association of Persons and that her alleged moiety share under the Regime of Communion of Assets cannot be bound by the said Agreement.

8. It is humbly submitted that, in the first instance, such a contention is *ex facie* erroneous and contrary to settled legal principles governing binding of non-signatories. The Hon'ble Supreme Court in ***Chloro Controls India Pvt. Ltd. v. Severn Trent Water Purification Inc.*** reported in (2013) 1 SCC 641 has recognized that non-signatories may be bound by an arbitration agreement under the "group of companies" doctrine and other principles such as composite transactions, commonality of subject matter, and direct relationship with the signatory party. This principle has been further elaborated and reaffirmed by the Constitution Bench of the Hon'ble Supreme Court in ***Cox and Kings Ltd. v. SAP India Pvt. Ltd.*** reported in 2023 SCC OnLine SC 1634, wherein it has been held that non-signatories can be referred to arbitration if they are directly involved in the performance of the contract, or where the circumstances demonstrate a clear intention to bind such parties.

9. Secondly, it is humbly submitted that the plea now sought to be canvased by the Respondent No. 2 by placing reliance on the Regime of Communion of Assets is wholly misconceived and legally untenable. The same is in ignorance of the provisions of the Civil Code, including Articles 1117, 1118 and 1193, which clearly indicate that the administration and management of the communion property is that of the husband, and transactions entered into in the course of such management are binding on the communion.

10. It is submitted that the Respondent No. 2 has failed to demonstrate how the present Agreement falls within any exception moreso, when the Agreement is to the tacit knowledge of the Respondent No. 2.

11. It is submitted that the Agreement constituting the Association of Persons was entered into in furtherance of a commercial

transaction concerning the suit properties, and the same cannot be conveniently disowned by Respondent No. 2 while continuing to retain benefits arising therefrom. In this context, a gainful reference can be had from the law laid down by the Hon'ble Bombay High Court in *Rashmi Mehra v. Eac Trading Ltd.* reported in **2018 SCC OnLine Bom 1502** has held that a party cannot avoid arbitration on derivative claims merely by asserting lack of signature when the surrounding circumstances indicate participation, benefit, and connection with the transaction. Similarly, in *Ameet Lalchand Shah v. Rishabh Enterprises* reported in **(2018) 15 SCC 678**, the Hon'ble Supreme Court has held that where multiple agreements and parties are intrinsically interlinked in a composite transaction, even non-signatories can be referred to arbitration to avoid multiplicity of proceedings and conflicting decisions.

12. In the present case, the disputes raised by the Claimant arise out of a composite arrangement involving the suit properties, the Association of Persons, and the conduct of all Respondents acting in pursuance thereof. The adjudication of such disputes necessarily requires the presence of Respondent No. 2 before this Hon'ble Tribunal.

13. It is further submitted that permitting Respondent No. 2 to raise such a belated jurisdictional objection would only defeat the very object of the Act, which is to ensure expeditious and efficient resolution of disputes.

14. The present Application is thus not only barred by limitation under Section 16(2) but is also hit by the principles of waiver, estoppel, and acquiescence. The same is devoid of merits and constitutes an abuse of the process of law.

15. In such circumstances, it is most respectfully prayed that this Hon'ble Tribunal be pleased to dismiss the Application filed by Respondent No. 2 with costs, and proceed with the adjudication of the present dispute on merits.

Date

Place: Panaji – Goa

For the Claimant

